Ultra Sound Money

Ethereum's Supply Dynamics & Monetary Thesis

Current Supply: 121.6M ETH | Gas: 0.1 Gwei | Price: $2,243

Source: ultrasound.money

ETH Supply Growing at +0.83%/Year with ~~Only~~ 192 ETH Burned in 7 Days

+19,445.89

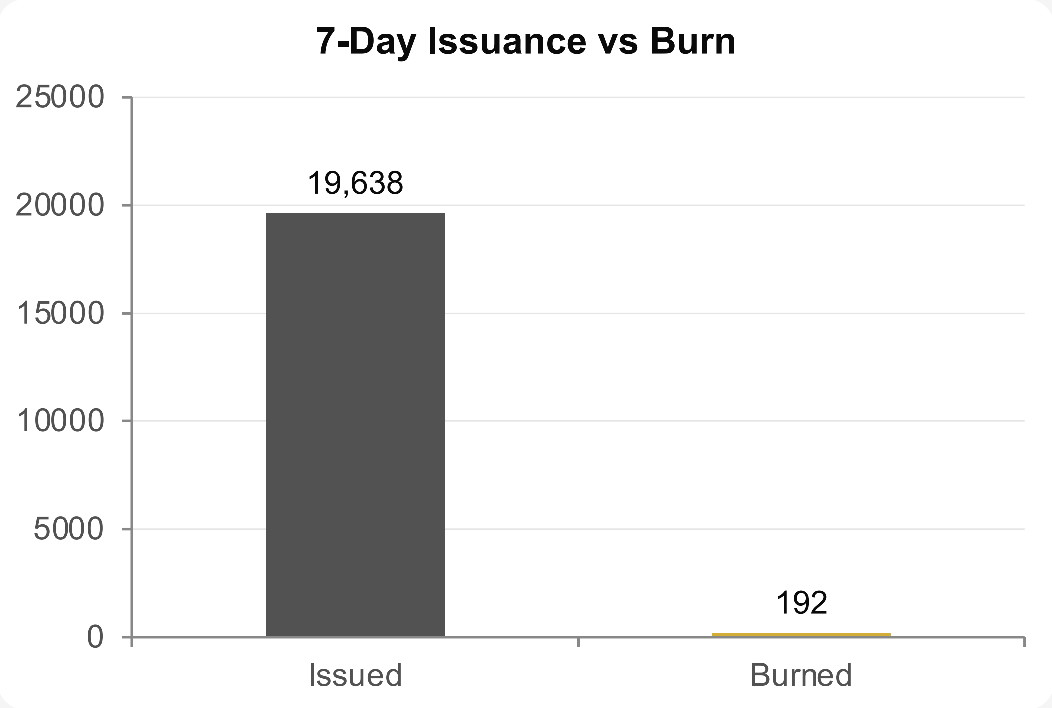
Net ETH Added (7D)

19,638.29

ETH Issued to Validators

192.39

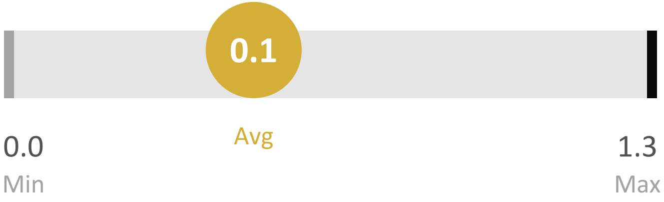
ETH Burned via EIP-1559



Burns currently offset only ~1% of new issuance (0.01x ratio). Annualized supply growth: +0.83%/year.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

7-Day Gas Market Range



Equilibrium assumption: 22 Gwei

Blob Gas (EIP-4844)

Average: ~7.1M wei | Blob fee burn (7D): 0.15 ETH ($319)

The Deflationary Brake

EIP-1559 burns the base fee on every transaction, creating a programmatic supply sink.

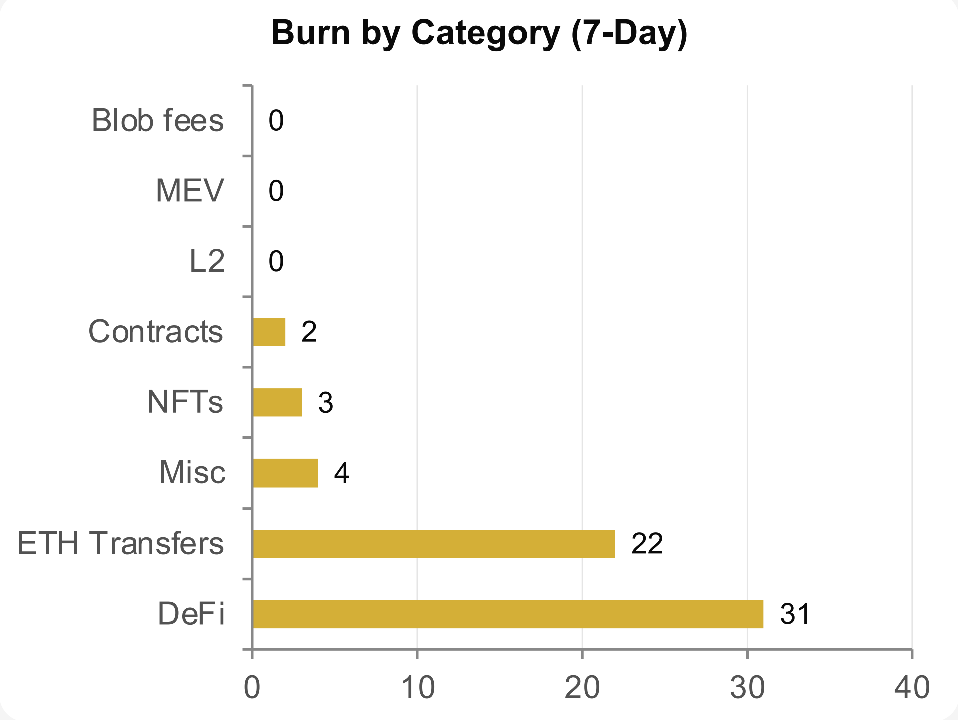
At current 0.1 Gwei average gas, burn is negligible — only ~192 ETH in 7 days.

The 22 Gwei equilibrium assumption used in long-term projections is 220x above current levels.

Low gas = low burn = temporary supply inflation. Activity recovery is the critical variable.

Source: ultrasound.money

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Burn Leaderboard (7D)

ETH Transfers	21.74 ETH
Tether USDT	13.55 ETH
DeFi (aggregate)	~31 ETH
NFTs	3 ETH
Contract creations	2 ETH
L2 / MEV / Blobs	0 ETH

DeFi + ETH transfers = ~85% of weekly burn. Absolute volumes remain negligible at current gas levels.

Source: ultrasound.money

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

38.9M

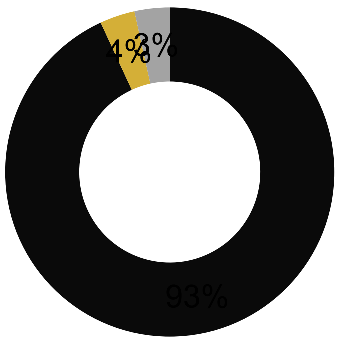
ETH Staked (~32% of supply)

9.1M

ETH Locked (avg 10.7 years)

Scarcity Engine Active

Validator Reward Composition



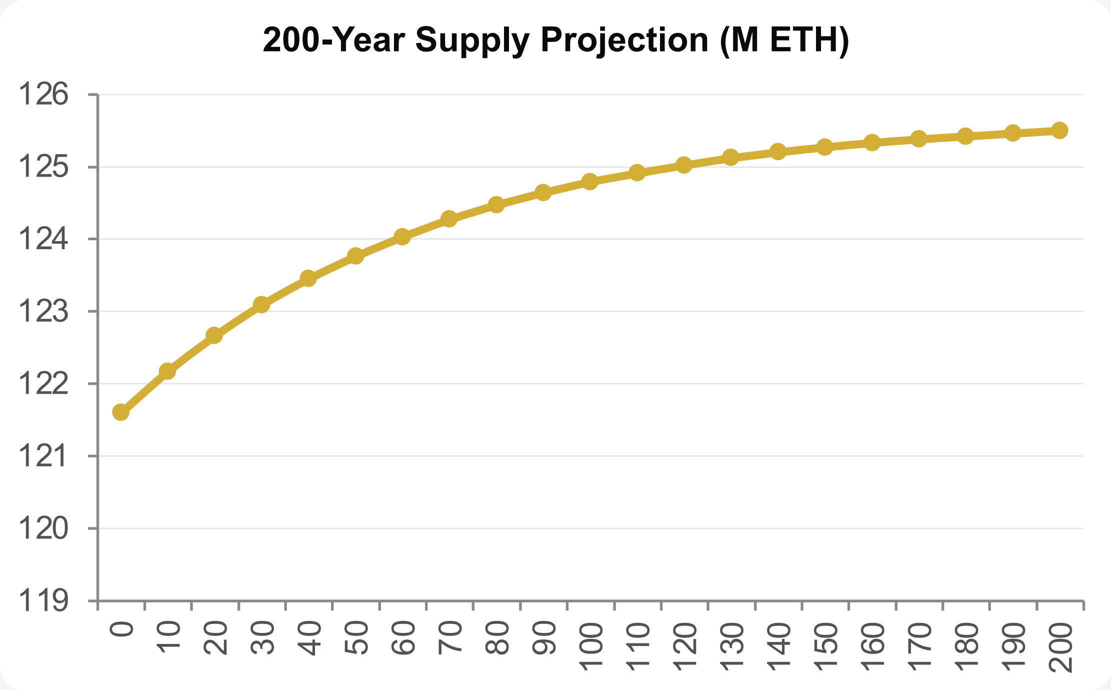
Reward Breakdown

Issuance	0.9 ETH/val	2.7%
Tips	0.0 ETH	0.1%
MEV est.	0.0 ETH	0.1%
Total		**~2.9%**

PoS issuance runs at ~2,800 ETH/day. Fee burn under normalized assumptions is ~2,200 ETH/day — but actual 7-day burn is far lower.

Source: ultrasound.money

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



125.7M

Equilibrium Supply

~1,037K / year

Issuance-Burn Balance

22 Gwei

Avg Base Gas Assumption

Eras: Genesis 5 ETH/block → Byzantium 3 → Constantinople 2 → Phase 0 Staking → London Burn → Merge (PoW Removal)

ETH at 18.7% of Bitcoin's Market Cap, Securing $272B in Native Value

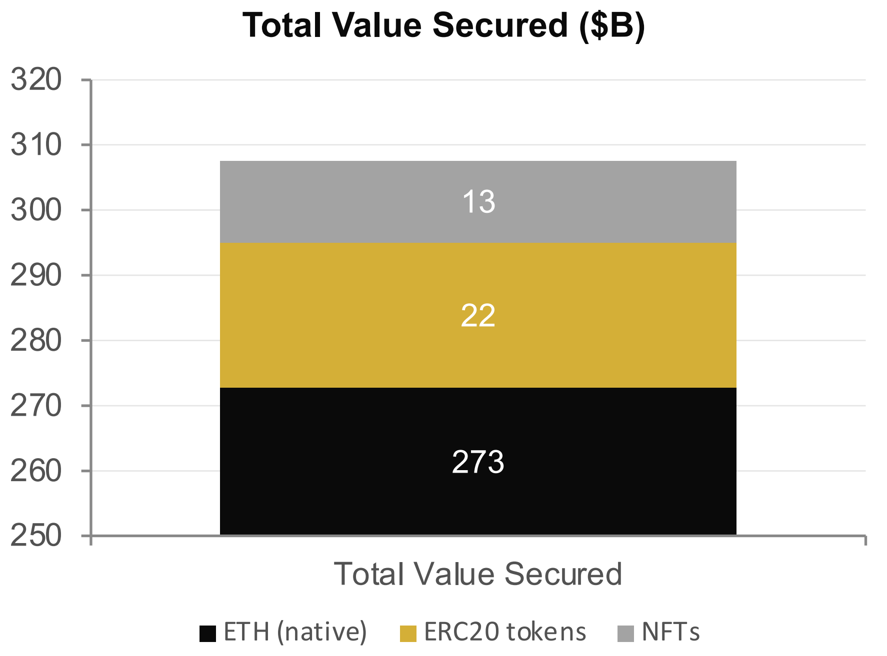
Flippening Progress

Bitcoin	**18.70%**
USD	**1.30%**
Gold	**0.89%**

Top Assets on Ethereum

ERC20s: Dai $4.41B, SHIB $3.51B, Cronos $2.97B, Tether Gold $2.65B

NFTs: CryptoPunks $2.13B, BAYC $0.68B, ENS $0.63B, Pudgy Penguins $0.51B



Total TVS: ~$307.6B | Fam: 6,000+ members tracking these metrics

Key Takeaways

01 ETH is currently slightly inflationary at +0.83%/year due to historically low gas (avg 0.1 Gwei), with burns offsetting only ~1% of issuance.

02 The burn mechanism works — DeFi and ETH transfers drive 85% of fee burn — but absolute volumes are negligible until on-chain activity recovers.

03 38.9M ETH (32% of supply) is staked, creating a significant supply lock. Validators earn ~2.7% APR primarily from protocol issuance.

04 Long-term equilibrium at 125.7M ETH is structurally sound, requiring sustained ~22 Gwei average gas to balance issuance and burn at ~1,037K ETH/year.

05 Flippening progress and $307B+ TVS demonstrate growing monetary premium. ETH at 18.7% of BTC market cap is early, not peak.

Forward View: The ultra sound money thesis depends on on-chain activity recovery. Investors should monitor gas trends, staking inflows, and L2 adoption as leading indicators.